Value investing: buy-and-hold results

S&P 500, data as of 2026-10-31

Abstract

Each January and July since 2016, a rule-based value score picks 10 S&P 500 companies, and 100 USD is invested in them, weighted by score and never sold. Investors who started in 2016, 2020, 2023 and 2025 (an earlier start buys from 2016) are followed to 30 October 2026, each against the same money in the S&P 500 total-return index, and in Berkshire Hathaway. The reference is the investor who started in 2020: the data hold only today's index members, and by the index's list of changes, which starts in July 1976, 125 companies have left the index since then against 230 since 2016, so fewer failed companies are missing. That investor's 1,400 USD is worth 3,947 USD, against 2,480 USD in the benchmark and 2,415 USD in Berkshire Hathaway; a second wallet that also sells holdings whose score has fallen is worth 3,927 USD. The report closes with the next picks: First Solar (FSLR), Snap-on (SNA), Cognizant (CTSH), ResMed (RMD), Edwards Lifesciences (EW), Skyworks Solutions (SWKS), BrownForman (BF-B), ON Semiconductor (ON), Insulet Corporation (PODD) and Fastenal (FAST). The result rests on few decisions and few companies, with 33% of the value in one company; it is a research result, not evidence of a lasting edge.

1 Method

Company fundamentals are the values first reported in each annual report (10-K) to the SEC, used from the day they were filed. When a company reports an item under more than one label, the label it used most recently by the date is taken, so later filings never decide it (Appendix E). Prices and dividends are from Yahoo Finance; returns include reinvested dividends and are in US dollars. On each date, only companies already in the S&P 500 are considered, outside the Financials and Real Estate sectors.

Ten rules from Graham and Buffett grade every company: G6 and G7 (price against earnings and book value), G2a and E1 (current ratio), G2b and E2 (debt), NN (net-net), G5 (earnings growth), B1 (return on equity) and E4 (current dividend). Six more (G3, G4, E3, E5, E6 and NI1) are switched off and can be switched on. The ten are eight concepts, because G2a and E1 (current ratio) and G2b and E2 (debt cover) measure the same thing and so count twice. For each rule, the companies are ranked by the rule's value and placed in equal-sized groups, from the most points for the best group to none for the worst; each rule's points are multiplied by its weight, one less the share of companies that pass the rule's threshold, so rules few companies pass count more. The score is the sum. On the first trading day of January and of July, the 10 highest-scoring companies are bought for 100 USD, each in proportion to its score.

Three limits apply to every number in this report. Companies that left the index are missing from the data, which flatters the results. The score's design and every setting of this report (the rules and their weighting, the number of picks, the decision months, the sell threshold, the start years) were chosen while looking at the whole period from 2009, so no period here is out of sample: the results describe how these rules would have done, not evidence that they will do so. There are no trading costs or taxes.

Neither Benjamin Graham nor Berkshire Hathaway or Warren Buffett has endorsed, reviewed or approved this score or this report. The rules are our reading of Graham's books; the quotations from Berkshire's published letters to shareholders are cited by year and show where a question was taken, not what any of them would say about these results.

2 Picks per half-year

Table 1: Purchases per half-year and their value today (USD).

Bought	Picks and weights	Wallet	S&P 500	Berkshire
2016-01	CMI 11%, WDC 11%, CSCO 11%, QCOM 10%, TPR 10%, GWW 10%, NTAP 10%, GLW 9%, HAL 9%, PFE 9%	621	452	415
2016-07	CSCO 11%, WDC 11%, QCOM 11%, NTAP 10%, TPR 10%, CMI 10%, CTSH 10%, VLO 9%, TEL 9%, BBY 9%	633	428	377
2017-01	CSCO 12%, CTSH 11%, LRCX 10%, QCOM 10%, NKE 10%, VLO 10%, CMI 10%, AMGN 9%, GILD 9%, FAST 9%	616	394	331
2017-07	CSCO 11%, QCOM 10%, CTSH 10%, FAST 10%, TSCO 10%, BBY 10%, GLW 10%, BIIB 9%, VLO 9%, LRCX 9%	539	363	316
2018-01	CSCO 11%, CTSH 11%, LRCX 10%, TPR 10%, GLW 10%, QCOM 10%, BBY 10%, AMAT 10%, TSCO 10%, VLO 9%	483	324	275
2018-07	QCOM 11%, LRCX 10%, CSCO 10%, AMAT 10%, LYB 10%, GILD 10%, FAST 10%, TPR 10%, CTSH 10%, SNA 9%	485	317	289
2019-01	LRCX 12%, MU 12%, KLAC 10%, LYB 10%, CTSH 10%, AMAT 10%, GILD 10%, FAST 9%, VLO 9%, HAS 9%	1,060	341	267
2019-07	MU 12%, NUE 11%, LRCX 11%, SNA 10%, CTSH 10%, NVDA 10%, FAST 9%, KLAC 9%, HUM 9%, AMAT 9%	1,260	286	253
2020-01	MU 12%, NUE 12%, CTSH 11%, SNA 10%, FAST 9%, TPR 9%, AMAT 9%, PKG 9%, GILD 9%, LYB 9%	508	257	238
2020-07	MU 12%, NUE 11%, CTSH 11%, HAS 10%, HUM 10%, PKG 10%, SNA 9%, FAST 9%, TPR 9%, HSIC 9%	538	266	305
2021-01	MU 11%, NUE 11%, HUM 10%, CTSH 10%, AMAT 10%, HAS 10%, PKG 10%, LRCX 9%, GILD 9%, BIIB 9%	396	223	237
2021-07	SNA 12%, MU 11%, HUM 10%, CMI 10%, INTC 10%, FAST 10%, NUE 10%, BBY 9%, HSIC 9%, CTSH 9%	274	189	194
2022-01	SNA 11%, MU 11%, HUM 10%, CMI 10%, HSIC 10%, INTC 10%, NUE 10%, AMAT 10%, PKG 9%, CTSH 9%	259	169	180
2022-07	SNA 11%, NUE 11%, MU 11%, AMAT 10%, SWKS 10%, GOOG 10%, GOOGL 10%, CMI 10%, INTC 10%, CTSH 9%	393	211	195
2023-01	MU 11%, SNA 10%, GOOG 10%, GOOGL 10%, NUE 10%, CTSH 10%, LRCX 10%, SWKS 10%, CMI 9%, INTC 9%	419	209	175
2023-07	STLD 12%, NUE 11%, SNA 11%, MU 10%, CF 10%, DD 10%, CTSH 10%, LRCX 9%, SWKS 9%, GOOG 9%	313	178	159
2024-01	STLD 11%, NUE 11%, SWKS 11%, SNA 11%, CF 10%, DD 10%, CTSH 9%, AMAT 9%, KEYS 9%, LRCX 9%	177	166	150
2024-07	NUE 11%, SNA 11%, STLD 10%, BG 10%, SWKS 10%, EOG 10%, CTSH 10%, CF 9%, ON 9%, EBAY 9%	147	142	134
2025-01	NUE 11%, SWKS 10%, STLD 10%, BG 10%, SNA 10%, EOG 10%, CTSH 10%, AMAT 9%, ON 9%, CF 9%	157	132	120
2025-07	ON 11%, SWKS 11%, SNA 11%, EW 10%, BG 10%, FSLR 10%, CTSH 10%, AMAT 9%, STLD 9%, EOG 9%	135	124	111
2026-01	ON 11%, SNA 11%, SWKS 10%, EW 10%, CPRT 10%, CTSH 10%, BG 10%, EOG 10%, NUE 10%, STLD 9%	121	112	109
2026-07	SNA 11%, CTSH 11%, FSLR 11%, SWKS 10%, RMD 10%, EW 10%, BF-B 10%, PODD 9%, CF 9%, HUM 9%	110	102	109

Table 1 lists the companies bought each January and July, with their weights, and what each 100 USD is worth on 30 October 2026, next to the same money in the S&P 500 and in Berkshire Hathaway. Figure 1 shows the same values. Most of the money went to Information Technology, Industrials and Materials; the best single purchase is NVDA in July 2019, now worth 50 times its cost. The purchases of none are worth less today than the same money in the S&P 500. Appendix

A lists every purchase of the wallet with sells of the investor who started in 2020, with its price at purchase and today, what later sales took from it, what it keeps today and its total return with dividends.

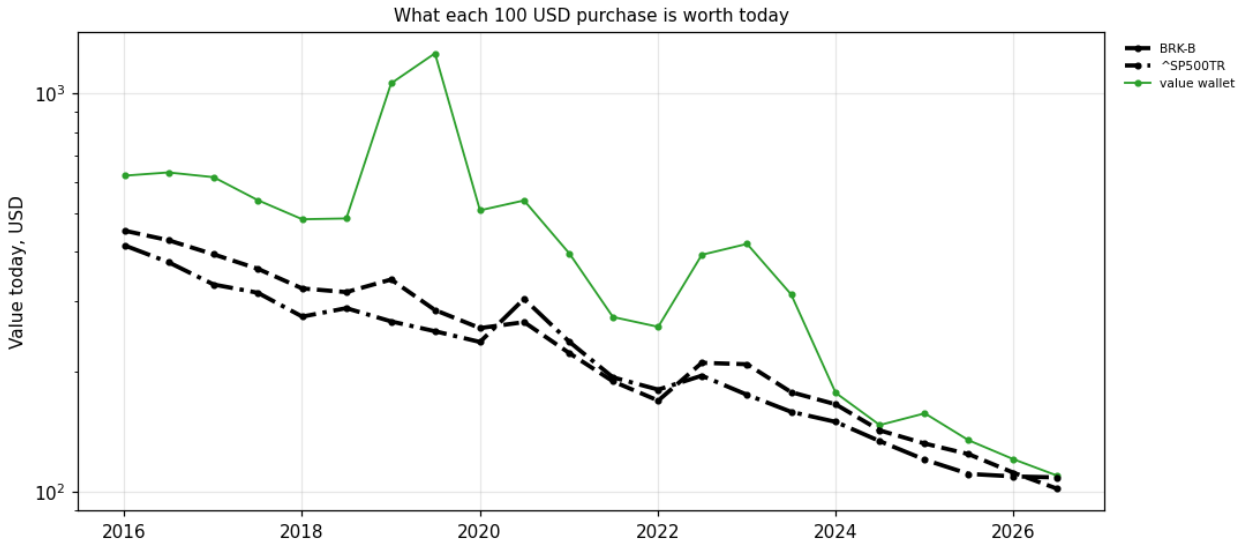


Figure 1: What each purchase is worth today, by date of purchase, on a logarithmic scale.

3 Value over time

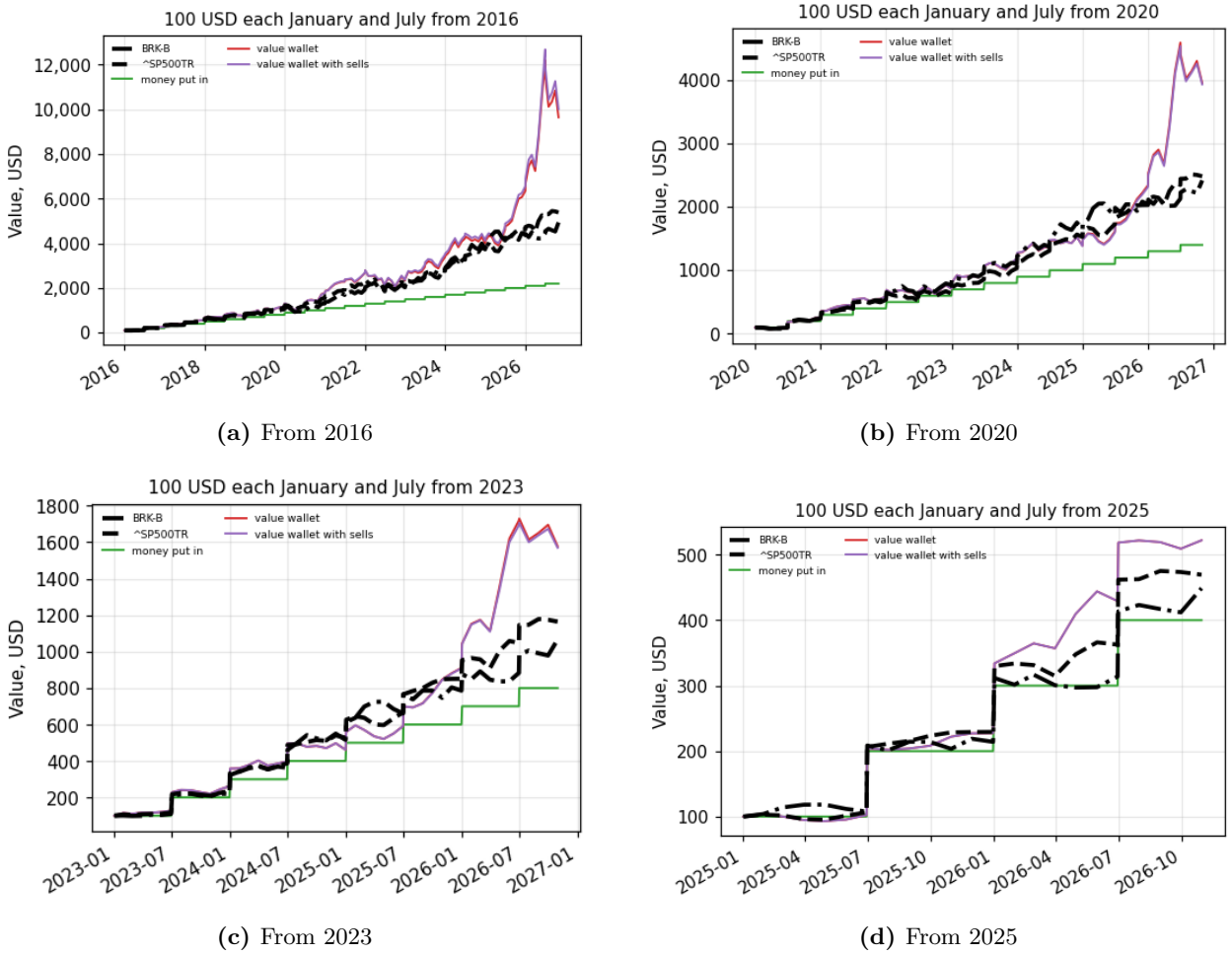
Table 2: Money put in and value today per start year (USD), and the money-weighted return a year.

Start	Holder	Put in	Value	Multiple	A year
2016	Value wallet	2,200	9,644	4.38	24.9%
	Value wallet with sells	2,200	10,014	4.55	25.5%
	S&P 500	2,200	5,383	2.45	15.3%
	Berkshire Hathaway	2,200	4,938	2.24	13.9%
2020	Value wallet	1,400	3,947	2.82	28.9%
	Value wallet with sells	1,400	3,927	2.80	28.8%
	S&P 500	1,400	2,480	1.77	15.9%
	Berkshire Hathaway	1,400	2,415	1.73	15.2%
2023	Value wallet	800	1,577	1.97	34.9%
	Value wallet with sells	800	1,569	1.96	34.6%
	S&P 500	800	1,164	1.46	18.7%
	Berkshire Hathaway	800	1,066	1.33	14.2%
2025	Value wallet	400	522	1.30	27.0%
	Value wallet with sells	400	522	1.30	27.0%
	S&P 500	400	469	1.17	15.7%
	Berkshire Hathaway	400	449	1.12	11.1%

Table 2 and Figure 2 follow the four investors. Each puts in 100 USD every January and July from the start year; the value wallet never sells. The return a year is money-weighted: the constant yearly rate that turns the payments into today's value.

The investor who started in 2016 earns 24.9% a year against 15.3% in the S&P 500 and 13.9% in Berkshire Hathaway. From 2020 the rates are 28.9%, 15.9% and 15.2%; from 2023 34.9%, 18.7% and 14.2%; from 2025, over less than two years, 27.0%, 15.7% and 11.1%. The wallet's value swings more than either comparison, because 10 companies of a few industries are far less diversified than the index or Berkshire.

The value wallet with sells buys the same picks with the same money, but at each decision it also sells part of any holding whose score has fallen; Section 4 describes the rule. From 2016 it is worth 10,014 USD (25.5% a year), from 2020 3,927 USD (28.8%) and from 2025 522 USD (27.0%).



(a) From 2016

(b) From 2020

(c) From 2023

(d) From 2025

Figure 2: Value of 100 USD every January and July from each start year, in USD, next to the money put in; the S&P 500 dashed and Berkshire Hathaway dash-dot.

4 Selling below the threshold

Each January and July, before buying, the wallet with sells checks every company it holds. The score is put on a scale from 0 to 1, the share of the most the company could score on the rules it is measured on. A holding scoring 0.4 or less is sold in part: the share sold is (0.4 less the score) divided by 0.4, so all of it at a score of 0 and almost none just under 0.4. Holdings are sold, never sold short. The proceeds are added to the decision's 100 USD and buy its picks.

4.1 Sold in the wallet

Table 3: Sales of the investor who started in 2020: share of each holding sold, its score on the 0-to-1 scale, and the proceeds.

Year	Sold: share of the holding (score)	Proceeds, USD
2021-01	TPR 11% (score 0.36)	3.64
2021-07	TPR 23% (score 0.31), HAS 0% (score 0.40)	9.33
2022-01	HAS 2% (score 0.39)	0.53
2023-01	GILD 16% (score 0.34)	4.49
2023-07	GILD 1% (score 0.40), HAS 23% (score 0.31)	4.00
2024-01	GILD 0% (score 0.40), HAS 10% (score 0.36)	1.07
2024-07	HAS 73% (score 0.11), BBY 11% (score 0.36)	8.95
2025-01	HAS 74% (score 0.11), CMI 1% (score 0.39), BBY 11% (score 0.36)	3.89
2025-07	GILD 1% (score 0.40), HAS 20% (score 0.32), INTC 46% (score 0.22), BBY 5% (score 0.38), EBAY 27% (score 0.29)	15.76
2026-01	GILD 1% (score 0.40), HAS 21% (score 0.32), INTC 48% (score 0.21), BBY 4% (score 0.39), EBAY 20% (score 0.32)	14.15
2026-07	HAS 32% (score 0.27), INTC 13% (score 0.35), EBAY 26% (score 0.30)	8.40

Table 3 lists the 27 sales of the investor who started in 2020, worth 74 USD in all. They are the wallet's own cash flows.

5 Wallet contents

Figure 3 follows every company in the wallet with sells of the investor who started in 2020, month by month. A line starts or steps up when the company is bought, steps down when part of it is sold, and rises or falls with the price in between. The dashed lines follow the same money in the S&P 500 and in Berkshire Hathaway, divided by the number of companies the wallet holds on the date, so they show what one holding would be worth in the index or in Berkshire. Appendix C gives each holding's value after every January's trades, the money put in and the proceeds of sales.

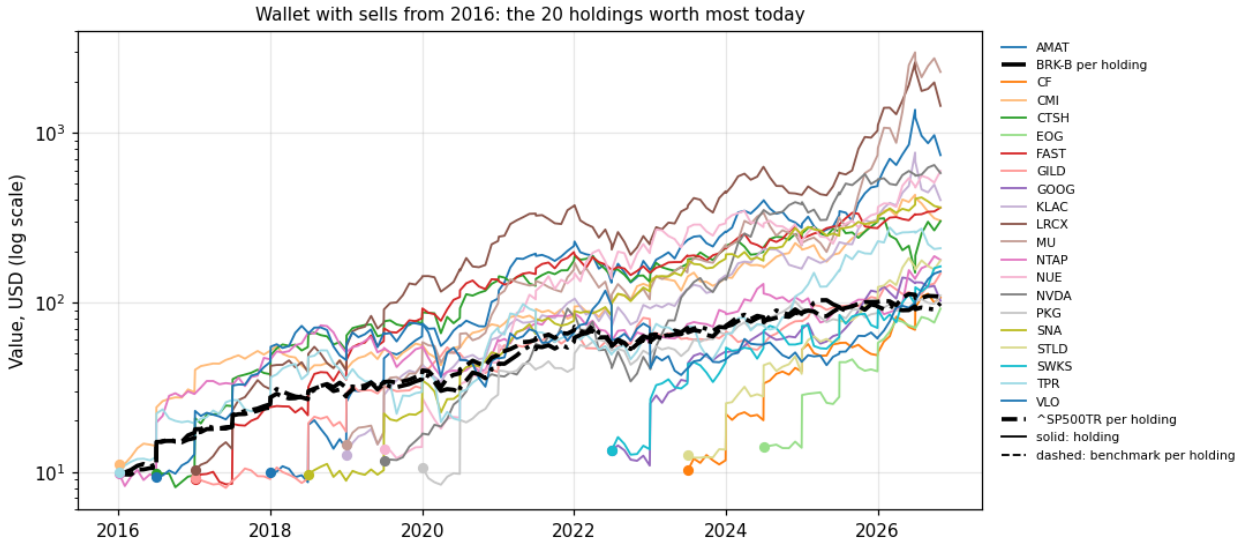


Figure 3: Value of each holding in the wallet with sells (solid) and of the S&P 500 and Berkshire Hathaway divided by the number of holdings (dashed), in USD on a logarithmic scale.

6 Rules behind the winners

Table 4: Dollars ahead of the same money in the S&P 500, per pick: total, average and median of the picks that beat the index and of those that lagged it.

Picks	Number	USD ahead, total	Average	Median
Beat the S&P 500	126	+4,986	+39.6	+9.5
Lagged the S&P 500	94	-725	-7.7	-5.3
All picks	220	+4,261	+19.4	+1.6

Of the picks, 126 have done better than the S&P 500 since their purchase and 94 have not, but a count treats a large win and a small loss alike. Table 4 weighs them in dollars: each pick's value today less what the same money would be worth in the S&P 500. The winners are 4,986 USD ahead of the index and the laggards 725 USD behind, a net 4,261 USD, the wallet's whole lead over the index. The median winner is 9 USD ahead and the median laggard 5 USD behind; the average win is 5.1 times the average loss. The wins are concentrated: the 5 largest, NVDA Jul 2019, MU Jan 2019, MU Jul 2019, LRCX Jan 2017 and LRCX Jan 2019, make up 28% of the winners' total.

Figure 4 compares the mean points per rule of the winners and of the laggards on the day they were picked, each pick weighted by its dollars ahead or behind the index, so the large wins and losses count most; the rules are ordered by how much more the winners scored. The winners scored most above the others on net-net (NN), 6-year earnings growth (G5), current ratio (G2a) and current ratio (lenient) (E1); the picks that lagged scored higher on return on equity (B1) and current dividend (E4). With so few picks, these differences describe this sample; they do not establish which rules work. Appendix F explains each rule, and Appendix D tests whether the rule weights favour the rules that told winners from losers.

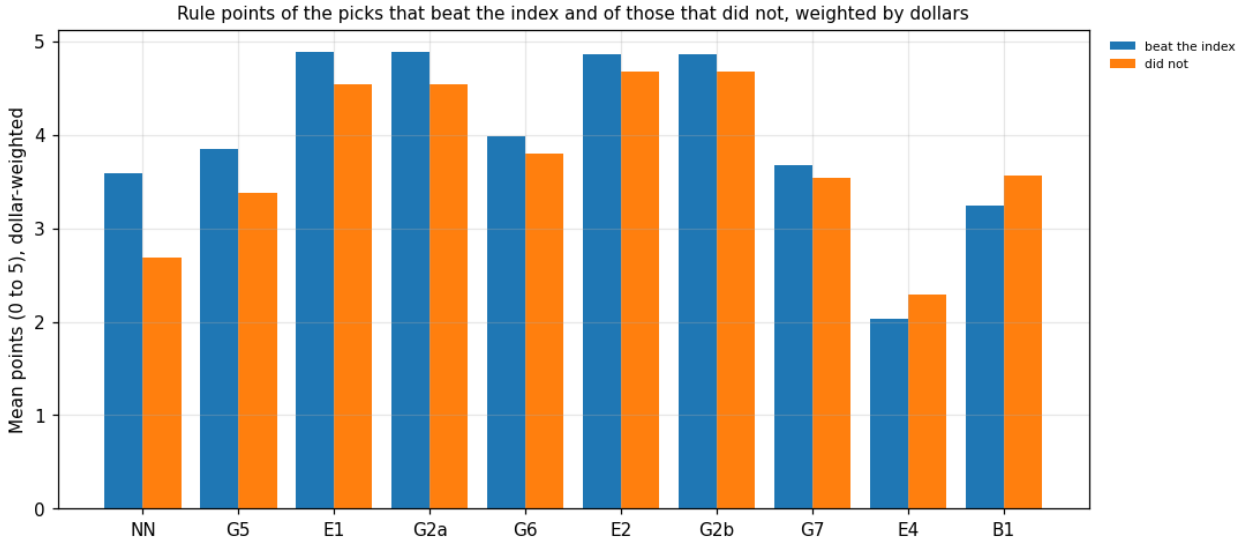


Figure 4: Mean points per rule of the picks that beat the S&P 500 since purchase and of those that did not, each pick weighted by its dollars ahead or behind the index.

7 The Magnificent 7

Table 5: The Magnificent 7 on the score: score and score on the 0-to-1 scale on the latest score date, rank among the companies scored then, and median rank on the dates of the decisions since 2016.

Company	Score	Score 0 to 1	Rank today	Median rank
Nvidia (NVDA)	22.5	0.60	28 of 379	32
Alphabet Inc. (Class A) (GOOGL)	21.4	0.57	44 of 379	22
Meta Platforms (META)	21.1	0.76	50 of 379	178
Microsoft (MSFT)	19.0	0.51	78 of 379	50
Tesla, Inc. (TSLA)	18.1	0.48	94 of 379	112
Amazon (AMZN)	12.4	0.33	212 of 379	229
Apple Inc. (AAPL)	7.0	0.19	340 of 379	151

The best-known growth companies of the period, the Magnificent 7, are rarely picked. On the latest score date Nvidia (NVDA) ranks highest of them, 28 of 379 companies, and Apple Inc. (AAPL) lowest at 340 (Table 5). The rules are Graham's and Buffett's, written to avoid paying a high price for growth: Figure 5 shows that the Magnificent 7 score far fewer points than the picks on P/E times P/B (G7), P/E (G6), current dividend (E4) and net-net (NN), and more only on 6-year earnings growth (G5).

The same 100 USD at each decision, split equally over the Magnificent 7 in the index on the date and never sold, is worth 23,955 USD from 2016 (39.9% a year), 4,445 USD from 2020 (32.3%) and 462 USD from 2025 (14.1%), against 9,644, 3,947 and 522 USD in the value wallet. The comparison picks the Magnificent 7 with hindsight: they are named for having been the winners of these years.

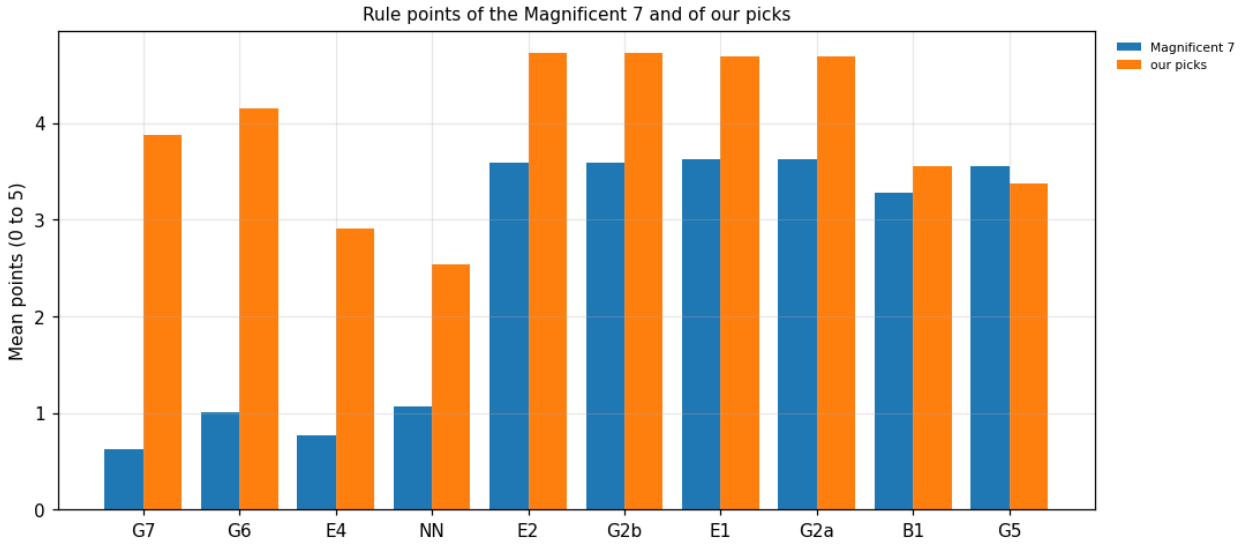


Figure 5: Mean points per rule of the Magnificent 7 and of our picks on the decision dates since 2016, the rules ordered by how many more points the picks scored.

8 Price history of the picks

Figure 6 shows the share price of every company the investor who started in 2023 bought or sold over the last 5 years. The price is split-adjusted and excludes dividends, as a price chart shows it; the companies run from the best to the worst price change over the 5 years, given beside each name; when they do not fit on one page, only the 6 best and the 6 worst are shown. Each purchase is marked in green and each sale in red, at the price on the decision date; a larger marker means more money. Figure 7 gives the same trades in USD per company and decision date.



Figure 6: Share price (USD, split-adjusted, dividends excluded) over the last 5 years, one panel per company, ordered from the best to the worst price change over the period; purchases (green) and sales (red) of the investor who started in 2023, marker area in proportion to the USD traded.

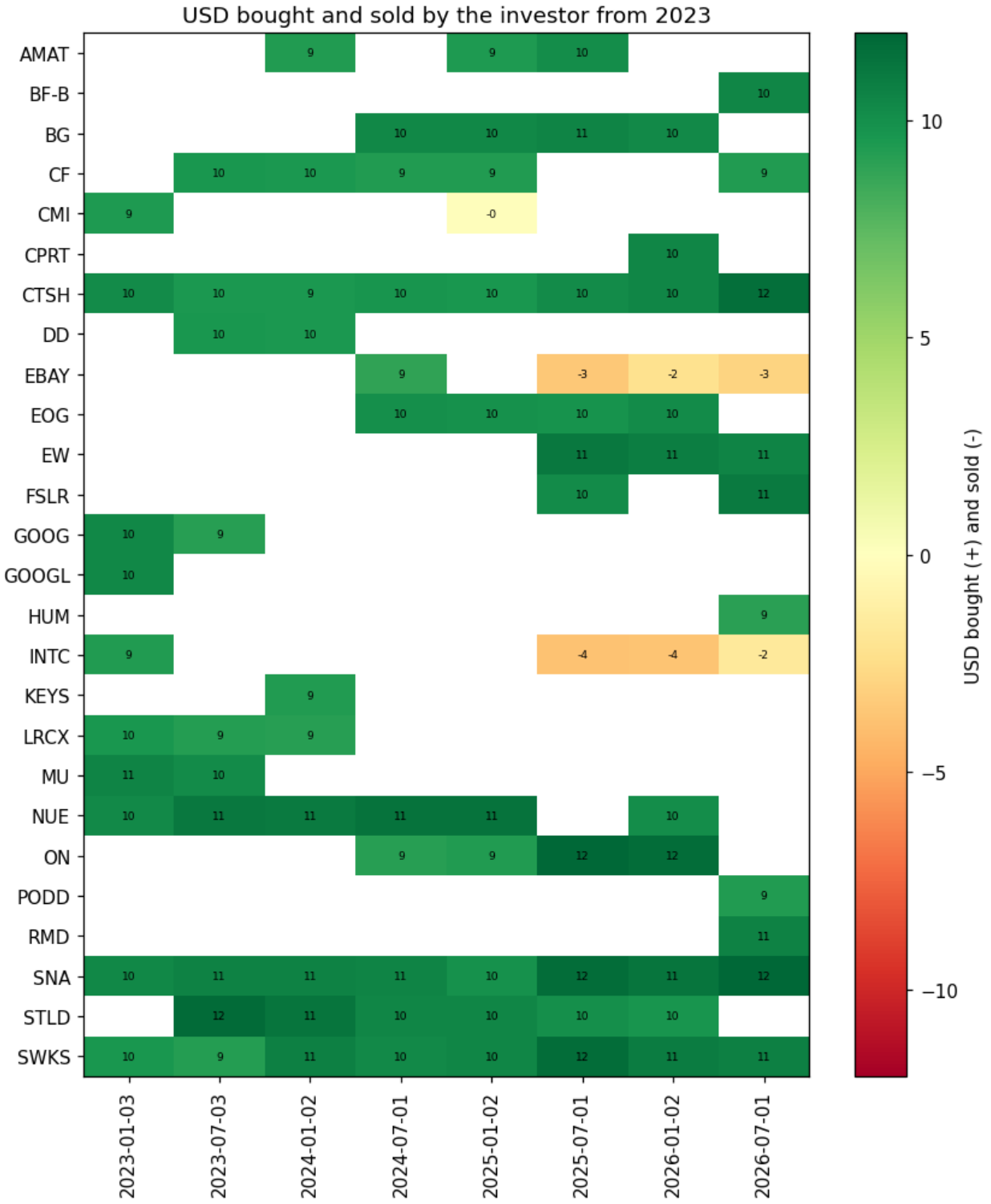


Figure 7: USD bought (green, positive) and sold (red, negative) by the investor who started in 2023, per company and decision date.

9 The next picks

Table 6: The next picks on the latest score date: score, score on the 0-to-1 scale, weight and USD of each 100 USD.

Company	Sector	Score	Score 0 to 1	Weight	USD
First Solar (FSLR)	Technology	34.6	0.93	11.7%	11.71
Snap-on (SNA)	Industrials	33.4	0.89	11.3%	11.29
Cognizant (CTSH)	Technology	31.4	0.84	10.6%	10.63
ResMed (RMD)	Health care	30.7	0.82	10.4%	10.37
Edwards Lifesciences (EW)	Health care	29.4	0.79	9.9%	9.94
Skyworks Solutions (SWKS)	Technology	29.1	0.78	9.8%	9.82
BrownForman (BF-B)	Staples	27.8	0.74	9.4%	9.39
ON Semiconductor (ON)	Technology	27.3	0.73	9.2%	9.23
Insulet Corporation (PODD)	Health care	27.0	0.72	9.1%	9.12
Fastenal (FAST)	Industrials	25.1	0.67	8.5%	8.50

On the latest score date, 18 September 2026, the 10 highest-scoring companies are First Solar (FSLR), Snap-on (SNA), Cognizant (CTSH), ResMed (RMD), Edwards Lifesciences (EW), Skyworks Solutions (SWKS), BrownForman (BF-B), ON Semiconductor (ON), Insulet Corporation (PODD) and Fastenal (FAST) (Table 6). Each would receive its share of the next decision's 100 USD and of any proceeds from sales. The decision is taken on the first trading day of January with the scores known then, which include the annual reports filed until that day; these picks are a preview and may change. Figure 8 shows each pick's share price over the last 5 years, with the earlier purchases of the investor who started in 2023 and the potential purchase at today's price.



Figure 8: Share price of each next pick (USD, split-adjusted, dividends excluded) over the last 5 years: earlier purchases of the investor who started in 2023 in green, the potential purchase at the latest price in orange.

10 Winning picks we missed

Table 7: Winners over the next 36 months that the score missed, by index: the share of winners held (by chance), their mean score and examples with their score on a scale from 0 to 1.

Index	Winners held (by chance)	Winners' mean score	Missed winners and their score
S&P 500	10% (4%)	0.55	Amazon 0.08, Netflix 0.23, Constellation Brands 0.32, Adobe 0.48
S&P 400	5% (9%)	0.42	Paylocity 0.03, Repligen 0.16, Tenet 0.17, Qualys 0.20, Chemed 0.34
S&P 600	9% (5%)	0.51	Archrock 0.14, Brinker 0.16, SM Energy 0.19

No score picks every winner, and a winner is only known afterwards. Here the winners are the ten companies with the highest return above their index over the next 36 months, found with hindsight on every date. A book of ten companies that knew nothing would hold about 4% of them on the S&P 500, 9% on the S&P 400 and 5% on the S&P 600 (Table 7). They are shown as a check on the rules, not as advice.

On the S&P 500 the score holds 10% of the winners and ranks them slightly above the median (0.55 on a scale from 0 to 1). It found the chip makers (Nvidia 0.91, Lam Research 0.96, Micron 0.91) and missed the growth platforms: Amazon 0.08, Netflix 0.23 and Constellation Brands 0.32. On the S&P 400 the winners score below the median (0.42): Paylocity 0.03, Repligen 0.16, Tenet 0.17 and Qualys 0.20. Health care is 17% of the winners there and 3% of our picks. On the S&P 600 energy companies are 24% of the winners and 2% of our picks.

A possible cause is in the rules. They are Graham's and Buffett's, and they reward cheap, low-debt, asset-rich companies. Many winners of the period were growth and quality companies that pay no dividend and trade at higher multiples. On the S&P 400 they score 0.7 points lower than the average company on the dividend rule and 0.4 lower on debt cover, while our picks score 4.4 on debt cover against 2.1 for the average company. On the earlier sixteen-rule score, dropping the dividend rules made no measurable difference on the S&P 500 and the S&P 400, so they are not what holds the score back there; on the S&P 600 the bands excluded zero (+0.72 and -0.93). The price rules are one more possible cause: dropping them raised the best ten on the S&P 500, but that held on the S&P 500 only, showed nothing on the S&P 400 and was contradicted on the S&P 600, so it was not adopted (Section 13). Companies that S&P later added to the S&P 500 scored lower than its existing members before they joined (0.42 against 0.51 on a scale from 0 to 1), which fits the hypothesis that the score undervalues growth; it is a hypothesis, not a tested result.

11 Lowest scores in the index

Table 8: The 10 lowest-scoring of the companies scored on the latest score date: sector, score, score on the 0-to-1 scale and colour (Green, Amber, Red or Black; not a recommendation).

Company	Sector	Score	Score 0 to 1	Colour
EchoStar (ECHO)	Communication Services	0.8	0.03	Black
Palo Alto Networks (PANW)	Information Technology	1.4	0.06	Black
GE Vernova (GEV)	Industrials	1.6	0.07	Black
J.M. Smucker Company (The) (SJM)	Consumer Staples	1.9	0.05	Black
Dell Technologies (DELL)	Information Technology	2.4	0.07	Black
Exelon (EXC)	Utilities	3.3	0.13	Black
AbbVie (ABBV)	Health Care	3.4	0.09	Black
Cardinal Health (CAH)	Health Care	3.6	0.10	Black
Hilton Worldwide (HLT)	Consumer Discretionary	3.8	0.10	Black
Live Nation Entertainment (LYV)	Communication Services	3.9	0.10	Black

These are the 10 lowest scores, as many as the picks, among the companies of the S&P 500 that are scored on 18 September 2026, whether or not anyone holds them: EchoStar (ECHO), Palo Alto Networks (PANW), GE Vernova (GEV), J.M. Smucker Company (The) (SJM), Dell Technologies (DELL), Exelon (EXC), AbbVie (ABBV), Cardinal Health (CAH), Hilton Worldwide (HLT) and Live Nation Entertainment (LYV) (Table 8, prices in Figure 9). Financials, Real Estate and companies with too few rules to score are not scored and so cannot appear. Companies with the same score are ordered by symbol, so when several share the last place, the alphabetically first are shown. The list shows where the score ranks these companies today; it is not a recommendation to buy, sell or sell short anything. A score of 0 means only that no rule awarded the company any points; it says nothing about what the company is worth.

The last column colours each score on the 0-to-1 scale. Green is a score above 0.6: a company one would buy. Amber is a score above 0.4 up to and including 0.6: a company one would not buy, and would hold only if already owned. Red is a score above 0.2 up to and including 0.4, and Black a score of 0.2 or less, down to 0: companies one might start to think about selling. The colours are not the rule of the wallet with sells. That rule is mechanical: at or below 0.4 it sells part of a holding, the more the lower the score, and at 0 all of it, whatever the colour. The sell signal on these companies has not been tested: no test has measured what the lowest scores did afterwards. The cut-offs are those the score uses today and are not fixed. The wallet never sells short; a short position on these companies is a later step and has not been tested.



Figure 9: Share price of each of the 10 lowest scores (USD, split-adjusted, dividends excluded) over the last 5 years: earlier purchases of the investor who started in 2023 in green, earlier sales in red, the potential sale at the latest price in orange.

12 How the model was tested

Table 9: The tests the model must pass before launch, and where each stands.

Test	What is checked	Result	Status
Winners removed	The wallet still beats its index with the 3 largest winners removed	Computed with each report: Table 10	Read from the table; in-sample
Company samples	Repeated samples, each leaving out a random part of the companies	S&P 500: ahead of the index in every sample (the samples share most of their companies)	Passed on the S&P 500, in-sample
Unseen companies	The score frozen, then run once on a part of the companies never used	Positive, but two companies gave 99% of the gain (earlier sixteen-rule score)	To rerun
Other indices	The score beats random picks of its own index on the S&P 400 and 600	Not reproduced	Open
Two periods	The edge appears before and after 2017	Yes on the S&P 500 (earlier sixteen-rule score)	To rerun
Missed winners	Which winners the score missed, and why	Section 10	Done
Survivorship	The effect of companies that left the index	Not yet measured	Open
Real-world check	Results compared with market events and institutional logic	Not yet done	Open

This is a prototype, "first light": the first version of the model that is frozen and dated, with nothing earlier to compare it with. The figures below are in-sample stress and sampling diagnostics, compared with the index and not with random books of the same size, on a configuration that was chosen on this data after more than 100 designs were tried. The bands cover the sampling of companies only: they do not allow for the number of designs tried (multiple testing) or for the period, which the designs were chosen while looking at, so no result here is out of sample. The one held-out test, on companies the score never used, is on the earlier sixteen-rule score and is marked to rerun. The tests follow a written protocol, and a test that failed is shown as failed. The model has not cleared them: the tests below are open or failed in part. The numbers are from runs on 1

November 2026 on the ten default rules, with data as of 31 October 2026.

On the S&P 500 the picks beat the index in every one of a set of repeated samples that each left out a random part of the companies (the samples share most of their companies, so this is not independent confirmation), by 9 to 15 points a year on average depending on the start year, and by about 5 points in the worst sample. The investor who started in 2020 earns 27.7% a year against 15.9% in the index. The gain is concentrated: Micron makes up 24% and Lam Research 16% of the 2016 investor's gain. Table 10, computed with this report, runs the wallet again with the largest winners removed as if they had never existed. The edge is present in this sample of the index but shrinks as they are removed, and it is concentrated in chip and materials companies that did well in a long bull market after 2009.

The other two indices do not confirm it as strongly: their own reports carry the same table, and it is the one to read for them. The lists of the S&P 400 and 600 give no entry dates and lose the companies that grew into a larger index, so these two tests are biased and not yet a verdict on the rules. Companies that left the index are missing from every test, which flatters the results.

12.1 Without the biggest winners

Table 10: Money-weighted return a year of the wallet above the S&P 500, in percentage points, by start year, as it is and with the largest winners removed from the ranking (computed with this report).

Start	As it is	Without 1	Without 3	Without 5
2016	+9.6	+6.7	+3.3	+1.9
2020	+13.0	+4.1	+3.1	+1.9
2023	+16.2	+5.0	+3.1	+1.9
2025	+11.3	+11.3	+11.3	+10.2

A few companies carry much of any wallet's gain, and the next quarter may offer fewer. To see how the result would stand without them, the wallet was run again with the largest winners removed as if they had never been in the index: the companies that put the most dollars ahead of the S&P 500 over all purchases. In order, the largest first, they are Micron Technology (MU), Lam Research (LRCX), Nvidia (NVDA), Applied Materials (AMAT) and KLA Corporation (KLAC); each column removes the first of them that its heading counts. The picks are ranked again without them, so the next-best companies fill the book on the same dates with the same money (Table 10). The scores of the remaining companies are not recomputed, and the winners were found with hindsight, so the table shows how dependent the result is on them, not what would have been picked. A column close to the first one means the gain does not rest on those companies; a column far below it means it does.

13 Midas and the Investor

Every result in this report was questioned before it was believed. When something looked wrong, too good, different between indices or against what a long-term investor would say, Midas, who reads the numbers, put the question to the Investor. The Investor answers only from Berkshire Hathaway's published letters to shareholders and names the year; the quotations imply no endorsement by Berkshire or Mr Buffett. Midas then tested the answer and reported back. Three of the exchanges follow. The figures in them are in-sample stress and sampling diagnostics, compared with the index and not with random books, on a configuration chosen on this data (Section 12).

Is the dividend rule holding the score back?

Midas: The winners we missed mostly pay no dividend, and they score low on the dividend rules. Should we drop them?

The Investor: (1984) "Berkshire has earned well over market rates on retained earnings, thereby creating over one dollar of market value for every dollar retained. Under such circumstances, any distribution would have been contrary to the financial interest of shareholders, large or small."

Midas: I dropped the two dividend rules from the sixteen-rule score and compared. On the S&P 500 the best ten changed by -0.03 points a year, with a 99% band from -1.05 to +0.41; on the S&P 400 by -0.26. There is no measurable difference on those two indices; on the S&P 600 the bands excluded zero (+0.72 and -0.93). The default now keeps only one dividend rule, the current dividend, and the other is a switch.

Should a cheap price be the test of value?

Midas: Dropping the P/E and price-to-book rules raised the best ten on the S&P 500 but lowered the broad ranking, and the missed winners were growth companies. That held on the S&P 500 only, and I did not adopt it.

The Investor: (1992) "Growth is always a component in the calculation of value." A low ratio of price to book value, a low price-earnings ratio or a high dividend yield are "far from determinative as to whether an investor is indeed buying something for what it is worth", and the opposite characteristics "are in no way inconsistent with a 'value' purchase". Yet "business growth, per se, tells us little about value". (2013, Graham's adage, which Buffett quotes as "Ben's adage") "Price is what you pay, value is what you get."

Midas: I tested a price-to-earnings-growth measure. On all three indices it widened the broad ranking a little and left the best ten slightly lower, within the noise. Used only for companies that pass the quality rule, return on equity, both rose on the S&P 500 and the S&P 400, by 0.3 to 1 point a year. That is small and adds complexity, so it is a switch and not the default.

Is it too good to be true?

Midas: The picks beat the index in every one of a set of repeated samples that each left out a random part of the companies. The samples share most of their companies, so that is not independent confirmation, and it still looks too good, so I removed the biggest winners as if they had never existed.

The Investor: (1987) "When shortages exist, however, even commodity businesses flourish", and "whenever shortages appear, the typical manager simply can't wait to expand capacity". (1989) "Time is the friend of the wonderful business, the enemy of the mediocre."

Midas: The 1987 passage is about insurance; I apply it to chip makers by analogy. Table 10 holds the result, computed with this report: the wallet still beats the index without its largest winners, but by much less. The edge is present in this sample but thin, and it sits in chip and materials companies after 2009. Treat it with care.

What the tests showed. The results are for holding over years, not months: the picks are bought twice a year and not sold. The concentration is the main risk, and one or two big winners carry much of the gain, so they are treated as luck until tested the same way. The book holds ten companies, not five: ten was chosen for plausibility and diversification, although the five-company book scored higher in the tests. The tests cover the default ten rules; other switches were not tested as a set. This is what the tests showed, not advice; read the tests in Section 12 before relying on a number.

14 Where to read more

Table 11: Strategy literature by risk profile.

Profile	Idea	Reading
Defensive	Preserve capital; diversified, cheap, boring; index funds	Graham, The Intelligent Investor (the defensive investor); Bogle, The Little Book of Common Sense Investing
Core	A wonderful company at a fair price, held for years	The Berkshire Hathaway shareholder letters; Dorsey, The Little Book That Builds Wealth
Value with a margin of safety	Buy at a deep discount to value	Graham (the enterprising investor); Klarman, Margin of Safety
Quality growth	Growth at a reasonable price, good management	Fisher, Common Stocks and Uncommon Profits; Lynch, One Up on Wall Street
Systematic value	Rules, ranked	Greenblatt, The Little Book That Beats the Market; Piotroski (2000), the F-score; Novy-Marx (2013), gross profitability
Risk awareness	Cycles and what can go wrong	Marks, The Most Important Thing; Lakonishok, Shleifer and Vishny (1994), contrarian investment

Planned, and not yet available: a member will be able to bring the strategy literature they like and ask for answers drawn from those pages, with the source named. The Berkshire Hathaway letters are free to read on the company's site. Books are copyrighted: use your own copy. The list below is grouped by the kind of risk each approach accepts. It is a starting point only: the titles are given from general knowledge and have not been checked against the books, so check each one before relying on it.

15 Conclusions

In this sample, the value picks bought twice a year and held are worth more today than the same money in the S&P 500 or in Berkshire Hathaway for each of the four start years. That describes the past under rules and settings chosen while looking at it; it is not a test of the strategy. The lead is uneven: the 8 purchases of Micron Technology (MU) make up 33% of the 2020 investor's value, and the purchases of none trail the index.

Before the strategy is used, three steps are needed: the companies that left the index must be added to the data, the score must be tested on more decisions (each quarter instead of each year), and trading costs and taxes must be included.

A Every purchase

Table 12: Every purchase of the wallet with sells of the investor who started in 2020: weight in the decision's purchase, USD invested (the decision's 100 USD and the proceeds of sales), split-adjusted price at purchase and today, USD sold from it later, USD it keeps today and its total return with dividends, (sold + kept) / invested - 1.

Year	Company	Sector	Weight	In	Bought at	Now	Sold	Kept	Return
2020-01	MU	Technology	12%	12	55.39	884.74		198	+1538%
2020-01	NUE	Materials	12%	12	55.12	273.87		66	+463%
2020-01	CTSH	Technology	11%	11	61.92	65.11		13	+17%
2020-01	SNA	Industrials	10%	10	169.00	355.66		25	+151%
2020-01	FAST	Industrials	9%	9	18.61	51.91		31	+232%
2020-01	TPR	Discretionary	9%	9	26.93	116.29	4	32	+290%
2020-01	AMAT	Technology	9%	9	62.20	390.09		62	+566%
2020-01	PKG	Materials	9%	9	110.72	256.82		26	+183%
2020-01	GILD	Health care	9%	9	65.23	170.68	2	25	+204%
2020-01	LYB	Materials	9%	9	93.86	68.64		10	+12%
2020-07	MU	Technology	12%	12	49.70	884.74		217	+1726%
2020-07	NUE	Materials	11%	11	40.38	273.87		86	+652%
2020-07	CTSH	Technology	11%	11	56.42	65.11		14	+28%
2020-07	HAS	Discretionary	10%	10	74.69	119.09	9	0	-5%
2020-07	HUM	Health care	10%	10	391.55	414.50		11	+12%
2020-07	PKG	Materials	10%	10	99.37	256.82		30	+210%
2020-07	SNA	Industrials	9%	9	134.12	355.66		29	+212%
2020-07	FAST	Industrials	9%	9	21.50	51.91		26	+184%
2020-07	TPR	Discretionary	9%	9	12.97	116.29	9	64	+699%
2020-07	HSIC	Health care	9%	9	58.86	84.88		13	+44%
2021-01	MU	Technology	11%	12	74.05	884.74		142	+1125%
2021-01	NUE	Materials	11%	11	52.51	273.87		64	+468%
2021-01	HUM	Health care	10%	11	412.19	414.50		12	+6%
2021-01	CTSH	Technology	10%	10	79.42	65.11		9	-10%
2021-01	AMAT	Technology	10%	10	86.87	390.09		48	+371%
2021-01	HAS	Discretionary	10%	10	91.96	119.09	7	0	-24%
2021-01	PKG	Materials	10%	10	135.75	256.82		22	+124%
2021-01	LRCX	Technology	9%	10	47.80	239.11		52	+430%
2021-01	GILD	Health care	9%	10	60.11	170.68	3	28	+217%
2021-01	BIIB	Health care	9%	10	242.95	253.62		10	+4%
2021-07	SNA	Industrials	12%	13	223.42	355.66		23	+83%
2021-07	MU	Technology	11%	12	80.11	884.74		138	+1033%
2021-07	HUM	Health care	10%	11	447.63	414.50		11	-2%
2021-07	CMI	Industrials	10%	11	242.13	500.09	0	25	+132%
2021-07	INTC	Technology	10%	11	56.01	65.76	5	3	-19%
2021-07	FAST	Industrials	10%	11	26.03	51.91		24	+127%
2021-07	NUE	Materials	10%	11	96.65	273.87		32	+206%
2021-07	BBY	Discretionary	9%	10	116.37	95.65	2	8	-2%
2021-07	HSIC	Health care	9%	10	75.51	84.88		11	+12%
2021-07	CTSH	Technology	9%	10	69.84	65.11		10	+2%
2022-01	SNA	Industrials	11%	11	213.32	355.66		22	+89%
2022-01	MU	Technology	11%	11	95.75	884.74		102	+845%
2022-01	HUM	Health care	10%	10	465.45	414.50		10	-6%
2022-01	CMI	Industrials	10%	10	219.53	500.09	0	26	+153%
2022-01	HSIC	Health care	10%	10	77.43	84.88		11	+10%
2022-01	INTC	Technology	10%	10	53.21	65.76	5	3	-16%
2022-01	NUE	Materials	10%	10	113.04	273.87		25	+159%
2022-01	AMAT	Technology	10%	10	159.93	390.09		24	+154%
2022-01	PKG	Materials	9%	9	134.61	256.82		20	+119%
2022-01	CTSH	Technology	9%	9	89.57	65.11		7	-21%
2022-07	SNA	Industrials	11%	11	198.24	355.66		23	+101%

Table 12: Every purchase of the wallet with sells of the investor who started in 2020: weight in the decision's purchase, USD invested (the decision's 100 USD and the proceeds of sales), split-adjusted price at purchase and today, USD sold from it later, USD it keeps today and its total return with dividends, (sold + kept) / invested - 1.

Year	Company	Sector	Weight	In	Bought at	Now	Sold	Kept	Return
2022-07	NUE	Materials	11%	11	105.64	273.87		30	+175%
2022-07	MU	Technology	11%	11	53.65	884.74		179	+1585%
2022-07	AMAT	Technology	10%	10	86.27	390.09		46	+369%
2022-07	SWKS	Technology	10%	10	91.12	87.58		11	+9%
2022-07	GOOG	Communication	10%	10	109.08	278.22		25	+157%
2022-07	GOOGL	Communication	10%	10	108.74	279.84		25	+160%
2022-07	CMI	Industrials	10%	10	194.11	500.09	0	27	+182%
2022-07	INTC	Technology	10%	10	36.34	65.76	7	4	+21%
2022-07	CTSH	Technology	9%	9	68.03	65.11		10	+3%
2023-01	MU	Technology	11%	11	50.37	884.74		196	+1683%
2023-01	SNA	Industrials	10%	11	229.38	355.66		19	+71%
2023-01	GOOG	Communication	10%	11	89.70	278.22		34	+213%
2023-01	GOOGL	Communication	10%	11	89.12	279.84		34	+217%
2023-01	NUE	Materials	10%	11	131.06	273.87		24	+120%
2023-01	CTSH	Technology	10%	11	57.59	65.11		13	+21%
2023-01	LRCX	Technology	10%	10	41.43	239.11		60	+497%
2023-01	SWKS	Technology	10%	10	90.50	87.58		11	+9%
2023-01	CMI	Industrials	9%	10	241.04	500.09	0	22	+124%
2023-01	INTC	Technology	9%	10	26.73	65.76	10	6	+61%
2023-07	STLD	Materials	12%	12	110.78	250.80		29	+137%
2023-07	NUE	Materials	11%	12	165.61	273.87		20	+73%
2023-07	SNA	Industrials	11%	11	286.86	355.66		15	+35%
2023-07	MU	Technology	10%	11	63.90	884.74		149	+1303%
2023-07	CF	Materials	10%	10	70.43	123.30		19	+88%
2023-07	DD	Industrials	10%	10	89.84	140.05		17	+66%
2023-07	CTSH	Technology	10%	10	65.56	65.11		10	+5%
2023-07	LRCX	Technology	9%	10	65.10	239.11		36	+278%
2023-07	SWKS	Technology	9%	10	111.70	87.58		8	-13%
2023-07	GOOG	Communication	9%	9	120.56	278.22		22	+133%
2024-01	STLD	Materials	11%	11	118.91	250.80		25	+119%
2024-01	NUE	Materials	11%	11	175.43	273.87		18	+62%
2024-01	SWKS	Technology	11%	11	109.11	87.58		10	-12%
2024-01	SNA	Industrials	11%	11	288.74	355.66		14	+32%
2024-01	CF	Materials	10%	10	81.61	123.30		15	+61%
2024-01	DD	Industrials	10%	10	97.29	140.05		15	+52%
2024-01	CTSH	Technology	9%	10	74.40	65.11		9	-8%
2024-01	AMAT	Technology	9%	9	154.37	390.09		24	+158%
2024-01	KEYS	Technology	9%	9	155.49	307.20		19	+98%
2024-01	LRCX	Technology	9%	9	74.93	239.11		30	+226%
2024-07	NUE	Materials	11%	12	157.00	273.87		22	+80%
2024-07	SNA	Industrials	11%	11	256.90	355.66		17	+47%
2024-07	STLD	Materials	10%	11	129.15	250.80		23	+100%
2024-07	BG	Staples	10%	11	107.32	96.64		11	-4%
2024-07	SWKS	Technology	10%	11	106.40	87.58		10	-11%
2024-07	EOG	Energy	10%	11	126.54	165.54		15	+42%
2024-07	CTSH	Technology	10%	11	67.74	65.11		11	+0%
2024-07	CF	Materials	9%	10	73.38	123.30		18	+77%
2024-07	ON	Technology	9%	10	69.18	71.67		10	+4%
2024-07	EBAY	Discretionary	9%	10	52.68	121.64	9	10	+101%
2025-01	NUE	Materials	11%	12	114.48	273.87		29	+145%
2025-01	SWKS	Technology	10%	11	88.45	87.58		11	+5%
2025-01	STLD	Materials	10%	11	111.93	250.80		25	+129%
2025-01	BG	Staples	10%	11	77.57	96.64		14	+31%
2025-01	SNA	Industrials	10%	10	335.11	355.66		11	+11%

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Year	Company	Sector	Weight	In	Bought at	Now	Sold	Kept	Return
2025-01	EOG	Energy	10%	10	124.71	165.54		15	+42%
2025-01	CTSH	Technology	10%	10	76.41	65.11		9	-12%
2025-01	AMAT	Technology	9%	10	163.87	390.09		24	+141%
2025-01	ON	Technology	9%	10	61.71	71.67		11	+16%
2025-01	CF	Materials	9%	10	85.83	123.30		14	+49%
2025-07	ON	Technology	11%	13	53.60	71.67		17	+34%
2025-07	SWKS	Technology	11%	13	77.16	87.58		15	+18%
2025-07	SNA	Industrials	11%	13	317.86	355.66		15	+16%
2025-07	EW	Health care	10%	12	77.18	92.01		14	+19%
2025-07	BG	Staples	10%	11	80.25	96.64		14	+25%
2025-07	FSLR	Technology	10%	11	162.96	174.40		12	+7%
2025-07	CTSH	Technology	10%	11	80.44	65.11		9	-17%
2025-07	AMAT	Technology	9%	11	183.76	390.09		23	+114%
2025-07	STLD	Materials	9%	11	130.16	250.80		21	+95%
2025-07	EOG	Energy	9%	11	121.19	165.54		15	+43%
2026-01	ON	Technology	11%	13	56.70	71.67		16	+26%
2026-01	SNA	Industrials	11%	12	350.95	355.66		13	+3%
2026-01	SWKS	Technology	10%	12	64.40	87.58		16	+39%
2026-01	EW	Health care	10%	12	85.33	92.01		13	+8%
2026-01	CPRT	Industrials	10%	11	37.77	30.13		9	-20%
2026-01	CTSH	Technology	10%	11	81.28	65.11		9	-18%
2026-01	BG	Staples	10%	11	92.64	96.64		12	+6%
2026-01	EOG	Energy	10%	11	107.27	165.54		17	+59%
2026-01	NUE	Materials	10%	11	169.40	273.87		18	+63%
2026-01	STLD	Materials	9%	10	176.06	250.80		15	+44%
2026-07	SNA	Industrials	11%	12	403.28	355.66		11	-11%
2026-07	CTSH	Technology	11%	12	41.07	65.11		19	+59%
2026-07	FSLR	Technology	11%	11	232.08	174.40		9	-25%
2026-07	SWKS	Technology	10%	11	65.93	87.58		15	+33%
2026-07	RMD	Health care	10%	11	201.10	229.94		13	+15%
2026-07	EW	Health care	10%	11	91.99	92.01		11	+0%
2026-07	BF-B	Staples	10%	11	25.83	28.71		12	+12%
2026-07	PODD	Health care	9%	10	159.79	149.68		9	-6%
2026-07	CF	Materials	9%	10	108.16	123.30		11	+15%
2026-07	HUM	Health care	9%	9	409.42	414.50		9	+1%

B Every company ranked

Table 13: All 379 companies of the S&P 500 scored on 18 September 2026, from the highest score on the 0-to-1 scale to the lowest: sector, that score, the score, colour (Green, Amber, Red or Black; not a recommendation) and whether the company is one of the next picks.

Rank	Company	Sector	Score 0 to 1	Score	Colour	Next pick
1	Supermicro (SMCI)	Information Technology	0.96	23.9	Green	
2	First Solar (FSLR)	Information Technology	0.93	34.6	Green	Pick
3	Deckers Brands (DECK)	Consumer Discretionary	0.92	23.0	Green	
4	Snap-on (SNA)	Industrials	0.89	33.4	Green	Pick
5	PulteGroup (PHM)	Consumer Discretionary	0.88	15.2	Green	

Table 13: All 379 companies of the S&P 500 scored on 18 September 2026, from the highest score on the 0-to-1 scale to the lowest: sector, that score, the score, colour (Green, Amber, Red or Black; not a recommendation) and whether the company is one of the next picks.

Rank	Company	Sector	Score 0 to 1	Score	Colour	Next pick
6	Lululemon Athletica (LULU)	Consumer Discretionary	0.86	21.5	Green	
7	A. O. Smith (AOS)	Industrials	0.84	23.3	Green	
8	Cognizant (CTSH)	Information Technology	0.84	31.4	Green	Pick
9	Nike, Inc. (NKE)	Consumer Discretionary	0.84	23.3	Green	
10	Copart (CPRT)	Industrials	0.84	21.0	Green	
11	ResMed (RMD)	Health Care	0.82	30.7	Green	Pick
12	Ralph Lauren Corporation (RL)	Consumer Discretionary	0.80	22.2	Green	
13	Regeneron Pharmaceuticals (REGN)	Health Care	0.79	22.1	Green	
14	Accenture (ACN)	Information Technology	0.79	22.0	Green	
15	Fox Corporation (Class B) (FOX)	Communication Services	0.79	21.8	Green	
16	Fox Corporation (Class A) (FOXA)	Communication Services	0.79	21.8	Green	
17	Edwards Lifesciences (EW)	Health Care	0.79	29.4	Green	Pick
18	Skyworks Solutions (SWKS)	Information Technology	0.78	29.1	Green	Pick
19	Airbnb (ABNB)	Consumer Discretionary	0.77	15.7	Green	
20	Meta Platforms (META)	Communication Services	0.76	21.1	Green	
21	BrownForman (BF-B)	Consumer Staples	0.74	27.8	Green	Pick
22	ON Semiconductor (ON)	Information Technology	0.73	27.3	Green	Pick
23	Insulet Corporation (PODD)	Health Care	0.72	27.0	Green	Pick
24	Incyte (INCY)	Health Care	0.70	17.5	Green	
25	Garmin (GRMN)	Consumer Discretionary	0.68	17.1	Green	
26	Freeport-McMoRan (FCX)	Materials	0.68	17.3	Green	
27	Fastenal (FAST)	Industrials	0.67	25.1	Green	Pick
28	Zoetis (ZTS)	Health Care	0.67	25.1	Green	
29	News Corp (Class A) (NWSA)	Communication Services	0.66	18.4	Green	
30	Hormel Foods (HRL)	Consumer Staples	0.66	18.3	Green	
31	CF Industries (CF)	Materials	0.66	24.7	Green	
32	EOG Resources (EOG)	Energy	0.65	24.5	Green	
33	Aptiv (APTV)	Consumer Discretionary	0.65	24.4	Green	
34	Bunge Global (BG)	Consumer Staples	0.65	22.5	Green	
35	West Pharmaceutical Services (WST)	Health Care	0.65	24.1	Green	
36	W. W. Grainger (GWW)	Industrials	0.64	23.9	Green	
37	Dover Corporation (DOV)	Industrials	0.64	23.9	Green	
38	News Corp (Class B) (NWS)	Communication Services	0.63	17.5	Green	
39	Humana (HUM)	Health Care	0.63	23.5	Green	
40	Steel Dynamics (STLD)	Materials	0.63	23.4	Green	
41	Applied Materials (AMAT)	Information Technology	0.62	23.3	Green	
42	PPG Industries (PPG)	Materials	0.62	23.2	Green	

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Rank	Company	Sector	Score 0 to 1	Score	Colour	Next pick
43	Nucor (NUE)	Materials	0.61	23.0	Green	
44	CRH plc (CRH)	Materials	0.61	21.1	Green	
45	Carvana (CVNA)	Consumer Discretionary	0.61	16.9	Green	
46	Qualcomm (QCOM)	Information Technology	0.61	22.7	Green	
47	Veeva Systems (VEEV)	Health Care	0.60	15.1	Green	
48	Ferguson Enterprises (FERG)	Industrials	0.60	20.9	Green	
49	Nvidia (NVDA)	Information Technology	0.60	22.5	Green	
50	Halliburton (HAL)	Energy	0.60	15.3	Green	
51	Intuit (INTU)	Information Technology	0.60	22.5	Green	
52	Abbott Laboratories (ABT)	Health Care	0.60	22.3	Amber	
53	Pentair (PNR)	Industrials	0.60	22.3	Amber	
54	Tractor Supply (TSCO)	Consumer Discretionary	0.59	22.0	Amber	
55	Martin Marietta Materials (MLM)	Materials	0.59	21.9	Amber	
56	Biogen (BIIB)	Health Care	0.58	21.7	Amber	
57	Elevance Health (ELV)	Health Care	0.58	21.7	Amber	
58	Lam Research (LRCX)	Information Technology	0.57	21.4	Amber	
59	Alphabet Inc. (Class C) (GOOG)	Communication Services	0.57	21.4	Amber	
60	Alphabet Inc. (Class A) (GOOGL)	Communication Services	0.57	21.4	Amber	
61	Xylem Inc. (XYL)	Industrials	0.57	21.4	Amber	
62	General Dynamics (GD)	Industrials	0.57	21.4	Amber	
63	Archer Daniels Midland (ADM)	Consumer Staples	0.57	21.3	Amber	
64	Zimmer Biomet (ZBH)	Health Care	0.57	21.2	Amber	
65	Intuitive Surgical (ISRG)	Health Care	0.56	14.1	Amber	
66	Leidos (LDOS)	Industrials	0.56	21.0	Amber	
67	Old Dominion (ODFL)	Industrials	0.56	21.0	Amber	
68	Lennox International (LII)	Industrials	0.56	20.8	Amber	
69	GE HealthCare (GEHC)	Health Care	0.56	19.2	Amber	
70	NXP Semiconductors (NXPI)	Information Technology	0.55	20.6	Amber	
71	Valero Energy (VLO)	Energy	0.55	20.5	Amber	
72	KLA Corporation (KLAC)	Information Technology	0.55	20.4	Amber	
73	Hubbell Incorporated (HUBB)	Industrials	0.55	20.4	Amber	
74	Sandisk (SNDK)	Information Technology	0.54	18.8	Amber	
75	Align Technology (ALGN)	Health Care	0.54	13.6	Amber	
76	Ross Stores (ROST)	Consumer Discretionary	0.54	20.2	Amber	
77	Veralto (VLTO)	Industrials	0.54	18.6	Amber	
78	Cummins (CMI)	Industrials	0.54	20.1	Amber	
79	Moderna (MRNA)	Health Care	0.54	20.0	Amber	
80	IDEX Corporation (IEX)	Industrials	0.53	19.9	Amber	

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Rank	Company	Sector	Score 0 to 1	Score	Colour	Next pick
81	Expeditors International (EXPD)	Industrials	0.53	13.3	Amber	
82	Chipotle Mexican Grill (CMG)	Consumer Discretionary	0.53	19.9	Amber	
83	Schlumberger (SLB)	Energy	0.53	19.8	Amber	
84	Allegion (ALLE)	Industrials	0.53	19.8	Amber	
85	TE Connectivity (TEL)	Information Technology	0.53	19.8	Amber	
86	CrowdStrike (CRWD)	Information Technology	0.53	14.6	Amber	
87	Newmont (NEM)	Materials	0.52	19.4	Amber	
88	Packaging Corporation of America (PKG)	Materials	0.52	19.4	Amber	
89	General Motors (GM)	Consumer Discretionary	0.52	12.9	Amber	
90	Amphenol (APH)	Information Technology	0.52	19.3	Amber	
91	Baker Hughes (BKR)	Energy	0.51	13.1	Amber	
92	Bio-Techne (TECH)	Health Care	0.51	19.2	Amber	
93	Steris (STE)	Health Care	0.51	19.2	Amber	
94	Stryker Corporation (SYK)	Health Care	0.51	19.1	Amber	
95	Medtronic (MDT)	Health Care	0.51	19.1	Amber	
96	Arista Networks (ANET)	Information Technology	0.51	12.8	Amber	
97	Agilent Technologies (A)	Health Care	0.51	19.1	Amber	
98	Microsoft (MSFT)	Information Technology	0.51	19.0	Amber	
99	TJX Companies (TJX)	Consumer Discretionary	0.50	18.9	Amber	
100	Western Digital (WDC)	Information Technology	0.50	18.8	Amber	
101	Ball Corporation (BALL)	Materials	0.50	18.7	Amber	
102	Advanced Micro Devices (AMD)	Information Technology	0.50	18.6	Amber	
103	Mosaic Company (The) (MOS)	Materials	0.50	18.6	Amber	
104	Best Buy (BBY)	Consumer Discretionary	0.50	18.6	Amber	
105	Texas Instruments (TXN)	Information Technology	0.49	18.5	Amber	
106	Vulcan Materials Company (VMC)	Materials	0.49	18.4	Amber	
107	Monolithic Power Systems (MPWR)	Information Technology	0.49	12.2	Amber	
108	FedEx (FDX)	Industrials	0.49	18.2	Amber	
109	Sempra (SRE)	Utilities	0.49	18.2	Amber	
110	Flex Ltd. (FLEX)	Information Technology	0.49	18.2	Amber	
111	Tesla, Inc. (TSLA)	Consumer Discretionary	0.48	18.1	Amber	
112	Smurfit Westrock (SW)	Materials	0.48	16.8	Amber	
113	Akamai Technologies (AKAM)	Information Technology	0.48	12.1	Amber	
114	LyondellBasell (LYB)	Materials	0.48	18.1	Amber	
115	Ingersoll Rand (IR)	Industrials	0.48	18.0	Amber	

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Rank	Company	Sector	Score 0 to 1	Score	Colour	Next pick
116	Cintas (CTAS)	Industrials	0.48	18.0	Amber	
117	United Parcel Service (UPS)	Industrials	0.48	13.4	Amber	
118	Axon Enterprise (AXON)	Industrials	0.48	18.0	Amber	
119	Waters Corporation (WAT)	Health Care	0.48	17.9	Amber	
120	Ulta Beauty (ULTA)	Consumer Discretionary	0.47	11.9	Amber	
121	Sysco (SYY)	Consumer Staples	0.47	17.7	Amber	
122	ConocoPhillips (COP)	Energy	0.47	17.7	Amber	
123	Comcast (CMCSA)	Communication Services	0.47	13.1	Amber	
124	Baxter International (BAX)	Health Care	0.47	17.7	Amber	
125	Teledyne Technologies (TDY)	Information Technology	0.47	17.6	Amber	
126	CDW Corporation (CDW)	Information Technology	0.47	17.6	Amber	
127	APA Corporation (APA)	Energy	0.47	17.6	Amber	
128	Devon Energy (DVN)	Energy	0.47	17.6	Amber	
129	Caterpillar Inc. (CAT)	Industrials	0.47	17.5	Amber	
130	Tapestry, Inc. (TPR)	Consumer Discretionary	0.47	17.4	Amber	
131	Solventum (SOLV)	Health Care	0.46	16.1	Amber	
132	Comfort Systems USA (FIX)	Industrials	0.46	17.4	Amber	
133	Automatic Data Processing (ADP)	Industrials	0.46	17.2	Amber	
134	Coherent Corp. (COHR)	Information Technology	0.46	17.2	Amber	
135	Vertex Pharmaceuticals (VRTX)	Health Care	0.46	11.5	Amber	
136	Boston Scientific (BSX)	Health Care	0.46	17.1	Amber	
137	Ciena (CIEN)	Information Technology	0.45	17.0	Amber	
138	Datadog (DDOG)	Information Technology	0.45	7.0	Amber	
139	AppLovin (APP)	Communication Services	0.45	16.9	Amber	
140	Phillips 66 (PSX)	Energy	0.45	16.7	Amber	
141	Keysight Technologies (KEYS)	Information Technology	0.45	16.7	Amber	
142	Lumentum (LITE)	Information Technology	0.44	16.6	Amber	
143	C.H. Robinson (CHRW)	Industrials	0.44	16.6	Amber	
144	Nordson Corporation (NDSN)	Industrials	0.44	16.5	Amber	
145	MGM Resorts (MGM)	Consumer Discretionary	0.44	16.5	Amber	
146	Marathon Petroleum (MPC)	Energy	0.44	16.4	Amber	
147	Fortinet (FTNT)	Information Technology	0.44	16.3	Amber	
148	Paychex (PAYX)	Industrials	0.43	16.2	Amber	
149	Cooper Companies (The) (COO)	Health Care	0.43	16.1	Amber	
150	Public Service Enterprise Group (PEG)	Utilities	0.43	16.1	Amber	
151	AT&T (T)	Communication Services	0.43	16.1	Amber	

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Rank	Company	Sector	Score 0 to 1	Score	Colour	Next pick
152	Henry Schein (HSIC)	Health Care	0.43	16.0	Amber	
153	Jacobs Solutions (J)	Industrials	0.42	15.8	Amber	
154	NetApp (NTAP)	Information Technology	0.42	15.8	Amber	
155	Dollar General (DG)	Consumer Staples	0.42	15.8	Amber	
156	Universal Health Services (UHS)	Health Care	0.42	11.7	Amber	
157	Honeywell Technologies (HON)	Industrials	0.42	15.7	Amber	
158	Constellation Energy (CEG)	Utilities	0.42	15.7	Amber	
159	Huntington Ingalls Industries (HII)	Industrials	0.42	15.6	Amber	
160	Amcor (AMCR)	Materials	0.41	15.5	Amber	
161	Lilly (Eli) (LLY)	Health Care	0.41	15.5	Amber	
162	Micron Technology (MU)	Information Technology	0.41	15.4	Amber	
163	AES Corporation (AES)	Utilities	0.41	10.3	Amber	
164	Eaton Corporation (ETN)	Industrials	0.41	15.3	Amber	
165	Carrier Global (CARR)	Industrials	0.41	15.3	Amber	
166	Air Products (APD)	Materials	0.41	10.2	Amber	
167	Howmet Aerospace (HWM)	Industrials	0.41	14.1	Amber	
168	Seagate Technology (STX)	Information Technology	0.41	15.2	Amber	
169	Parker Hannifin (PH)	Industrials	0.41	15.2	Amber	
170	Broadridge Financial Solutions (BR)	Industrials	0.40	15.1	Amber	
171	Merck & Co. (MRK)	Health Care	0.40	15.1	Amber	
172	Masco (MAS)	Industrials	0.40	15.1	Amber	
173	DuPont (DD)	Industrials	0.40	15.0	Amber	
174	T-Mobile US (TMUS)	Communication Services	0.40	14.9	Red	
175	Generac (GNRC)	Industrials	0.40	14.8	Red	
176	Synopsys (SNPS)	Information Technology	0.40	14.8	Red	
177	Edison International (EIX)	Utilities	0.39	14.7	Red	
178	Omnicom Group (OMC)	Communication Services	0.39	14.7	Red	
179	Qnity Electronics (Q)	Information Technology	0.39	13.6	Red	
180	Genuine Parts Company (GPC)	Consumer Discretionary	0.39	14.7	Red	
181	Dexcom (DXCM)	Health Care	0.39	9.7	Red	
182	Workday, Inc. (WDAY)	Information Technology	0.39	10.8	Red	
183	Diamondback Energy (FANG)	Energy	0.39	14.5	Red	
184	Danaher Corporation (DHR)	Health Care	0.38	14.4	Red	
185	Gilead Sciences (GILD)	Health Care	0.38	14.4	Red	
186	Williams-Sonoma, Inc. (WSM)	Consumer Discretionary	0.38	9.6	Red	
187	Vertiv (VRT)	Industrials	0.38	14.3	Red	
188	Expand Energy (EXE)	Energy	0.38	13.1	Red	
189	Verizon (VZ)	Communication Services	0.38	14.2	Red	
190	Uber (UBER)	Industrials	0.38	14.2	Red	

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Rank	Company	Sector	Score 0 to 1	Score	Colour	Next pick
191	Booking Holdings (BKNG)	Consumer Discretionary	0.38	12.5	Red	
192	Marvell Technology (MRVL)	Information Technology	0.38	14.0	Red	
193	Oneok (OKE)	Energy	0.37	14.0	Red	
194	Avery Dennison (AVY)	Materials	0.37	14.0	Red	
195	Trane Technologies (TT)	Industrials	0.37	13.9	Red	
196	Chevron Corporation (CVX)	Energy	0.37	13.9	Red	
197	Coca-Cola Company (The) (KO)	Consumer Staples	0.37	13.9	Red	
198	NRG Energy (NRG)	Utilities	0.37	13.9	Red	
199	Analog Devices (ADI)	Information Technology	0.37	13.8	Red	
200	3M (MMM)	Industrials	0.37	13.7	Red	
201	Idexx Laboratories (IDXX)	Health Care	0.36	13.6	Red	
202	Revvity (RVTY)	Health Care	0.36	13.6	Red	
203	Texas Pacific Land Corporation (TPL)	Energy	0.36	9.1	Red	
204	Kenvue (KVUE)	Consumer Staples	0.36	8.0	Red	
205	Palantir Technologies (PLTR)	Information Technology	0.36	9.0	Red	
206	Illinois Tool Works (ITW)	Industrials	0.36	13.4	Red	
207	Consolidated Edison (ED)	Utilities	0.35	13.3	Red	
208	Thermo Fisher Scientific (TMO)	Health Care	0.35	13.2	Red	
209	TransDigm Group (TDG)	Industrials	0.35	13.1	Red	
210	Delta Air Lines (DAL)	Industrials	0.35	12.9	Red	
211	Cadence Design Systems (CDNS)	Information Technology	0.35	8.6	Red	
212	Emcor (EME)	Industrials	0.34	8.6	Red	
213	Northrop Grumman (NOC)	Industrials	0.34	12.9	Red	
214	Albemarle Corporation (ALB)	Materials	0.34	12.8	Red	
215	Cigna (CI)	Health Care	0.34	12.8	Red	
216	Charter Communications (CHTR)	Communication Services	0.34	9.5	Red	
217	General Mills (GIS)	Consumer Staples	0.34	12.8	Red	
218	Tyson Foods (TSN)	Consumer Staples	0.34	9.4	Red	
219	Kroger (KR)	Consumer Staples	0.34	12.6	Red	
220	Target Corporation (TGT)	Consumer Staples	0.34	12.6	Red	
221	PPL Corporation (PPL)	Utilities	0.34	12.6	Red	
222	Norwegian Cruise Line Holdings (NCLH)	Consumer Discretionary	0.33	12.5	Red	
223	United Airlines Holdings (UAL)	Industrials	0.33	12.5	Red	
224	DTE Energy (DTE)	Utilities	0.33	12.5	Red	
225	Dow Inc. (DOW)	Materials	0.33	12.4	Red	
226	PepsiCo (PEP)	Consumer Staples	0.33	12.4	Red	
227	IBM (IBM)	Information Technology	0.33	12.4	Red	
228	Broadcom (AVGO)	Information Technology	0.33	12.4	Red	
229	Gartner (IT)	Information Technology	0.33	12.4	Red	

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Rank	Company	Sector	Score 0 to 1	Score	Colour	Next pick
230	Amazon (AMZN)	Consumer Discretionary	0.33	12.4	Red	
231	Netflix (NFLX)	Communication Services	0.33	12.4	Red	
232	CenterPoint Energy (CNP)	Utilities	0.33	12.3	Red	
233	F5, Inc. (FFIV)	Information Technology	0.33	8.2	Red	
234	Home Depot (The) (HD)	Consumer Discretionary	0.33	12.3	Red	
235	FedEx Freight (FDXF)	Industrials	0.32	11.2	Red	
236	Mondelez International (MDLZ)	Consumer Staples	0.32	12.1	Red	
237	PG&E Corporation (PCG)	Utilities	0.32	12.0	Red	
238	Domino's (DPZ)	Consumer Discretionary	0.32	12.0	Red	
239	Occidental Petroleum (OXY)	Energy	0.32	12.0	Red	
240	United Rentals (URI)	Industrials	0.32	12.0	Red	
241	DaVita (DVA)	Health Care	0.32	12.0	Red	
242	Adobe Inc. (ADBE)	Information Technology	0.32	11.9	Red	
243	Linde plc (LIN)	Materials	0.32	11.8	Red	
244	Oracle Corporation (ORCL)	Information Technology	0.31	7.9	Red	
245	Skydance (SKYD)	Communication Services	0.31	5.1	Red	
246	Constellation Brands (STZ)	Consumer Staples	0.31	6.4	Red	
247	Carnival Corporation (CCL)	Consumer Discretionary	0.31	11.6	Red	
248	L3Harris (LHX)	Industrials	0.31	11.6	Red	
249	Johnson & Johnson (JNJ)	Health Care	0.31	11.6	Red	
250	Las Vegas Sands (LVS)	Consumer Discretionary	0.31	11.5	Red	
251	Duke Energy (DUK)	Utilities	0.31	11.5	Red	
252	NextEra Energy (NEE)	Utilities	0.31	11.4	Red	
253	Intel (INTC)	Information Technology	0.30	11.3	Red	
254	Xcel Energy (XEL)	Utilities	0.30	11.3	Red	
255	CVS Health (CVS)	Health Care	0.30	11.3	Red	
256	CMS Energy (CMS)	Utilities	0.30	11.2	Red	
257	Lockheed Martin (LMT)	Industrials	0.30	11.2	Red	
258	Ecolab (ECL)	Materials	0.30	11.2	Red	
259	Pfizer (PFE)	Health Care	0.30	11.2	Red	
260	eBay Inc. (EBAY)	Consumer Discretionary	0.30	11.1	Red	
261	Verisk Analytics (VRSK)	Industrials	0.30	11.1	Red	
262	Union Pacific Corporation (UNP)	Industrials	0.30	11.1	Red	
263	Southern Company (SO)	Utilities	0.29	10.9	Red	
264	Procter & Gamble (PG)	Consumer Staples	0.29	10.8	Red	
265	Rockwell Automation (ROK)	Industrials	0.29	10.8	Red	
266	Labcorp (LH)	Health Care	0.29	10.8	Red	
267	Ametek (AME)	Industrials	0.29	10.8	Red	

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Rank	Company	Sector	Score 0 to 1	Score	Colour	Next pick
268	Pinnacle West Capital (PNW)	Utilities	0.29	10.8	Red	
269	Waste Management (WM)	Industrials	0.29	10.7	Red	
270	Microchip Technology (MCHP)	Information Technology	0.29	10.7	Red	
271	Williams Companies (WMB)	Energy	0.29	10.7	Red	
272	Wynn Resorts (WYNN)	Consumer Discretionary	0.29	10.7	Red	
273	Entergy (ETR)	Utilities	0.28	10.7	Red	
274	Bristol Myers Squibb (BMY)	Health Care	0.28	10.6	Red	
275	Hershey Company (The) (HSY)	Consumer Staples	0.28	7.2	Red	
276	Dominion Energy (D)	Utilities	0.28	10.6	Red	
277	Kinder Morgan (KMI)	Energy	0.28	10.6	Red	
278	Darden Restaurants (DRI)	Consumer Discretionary	0.28	10.5	Red	
279	UnitedHealth Group (UNH)	Health Care	0.28	10.4	Red	
280	Kimberly-Clark (KMB)	Consumer Staples	0.28	10.4	Red	
281	Keurig Dr Pepper (KDP)	Consumer Staples	0.28	10.4	Red	
282	American Electric Power (AEP)	Utilities	0.28	10.4	Red	
283	NiSource (NI)	Utilities	0.28	10.4	Red	
284	Hasbro (HAS)	Consumer Discretionary	0.27	10.2	Red	
285	DoorDash (DASH)	Consumer Discretionary	0.27	4.2	Red	
286	Church & Dwight (CHD)	Consumer Staples	0.27	10.2	Red	
287	Ameren (AEE)	Utilities	0.27	10.2	Red	
288	Teradyne (TER)	Information Technology	0.27	6.8	Red	
289	Lowe's (LOW)	Consumer Discretionary	0.27	10.1	Red	
290	Casey's (CASY)	Consumer Staples	0.27	9.9	Red	
291	Republic Services (RSG)	Industrials	0.26	9.9	Red	
292	Evergy (EVRG)	Utilities	0.26	9.9	Red	
293	PTC Inc. (PTC)	Information Technology	0.26	9.8	Red	
294	Walt Disney Company (The) (DIS)	Communication Services	0.26	9.8	Red	
295	EQT Corporation (EQT)	Energy	0.26	9.8	Red	
296	Yum! Brands (YUM)	Consumer Discretionary	0.26	9.7	Red	
297	Royal Caribbean Group (RCL)	Consumer Discretionary	0.26	9.7	Red	
298	Norfolk Southern (NSC)	Industrials	0.26	9.7	Red	
299	Sherwin-Williams (SHW)	Materials	0.26	9.6	Red	
300	Ford Motor Company (F)	Consumer Discretionary	0.25	3.9	Red	
301	Alliant Energy (LNT)	Utilities	0.25	9.5	Red	
302	WEC Energy Group (WEC)	Utilities	0.25	9.5	Red	
303	Costco (COST)	Consumer Staples	0.25	9.4	Red	
304	International Paper (IP)	Materials	0.25	9.4	Red	
305	Wabtec (WAB)	Industrials	0.25	9.4	Red	
306	Amgen (AMGN)	Health Care	0.25	9.4	Red	

Table 13: All 379 companies of the S&P 500 scored on 18 September 2026, from the highest score on the 0-to-1 scale to the lowest: sector, that score, the score, colour (Green, Amber, Red or Black; not a recommendation) and whether the company is one of the next picks.

Rank	Company	Sector	Score 0 to 1	Score	Colour	Next pick
307	Becton Dickinson (BDX)	Health Care	0.25	9.3	Red	
308	Corning Inc. (GLW)	Information Technology	0.25	9.3	Red	
309	Atmos Energy (ATO)	Utilities	0.25	9.3	Red	
310	Altria (MO)	Consumer Staples	0.25	9.2	Red	
311	IQVIA (IQV)	Health Care	0.25	9.2	Red	
312	International Flavors & Fragrances (IFF)	Materials	0.25	9.2	Red	
313	Gen Digital (GEN)	Information Technology	0.24	9.1	Red	
314	FirstEnergy (FE)	Utilities	0.24	8.9	Red	
315	Tyler Technologies (TYL)	Information Technology	0.24	8.8	Red	
316	American Water Works (AWK)	Utilities	0.23	8.7	Red	
317	Rollins, Inc. (ROL)	Industrials	0.23	8.6	Red	
318	McDonald's (MCD)	Consumer Discretionary	0.23	8.6	Red	
319	Clorox (CLX)	Consumer Staples	0.23	8.5	Red	
320	Colgate-Palmolive (CL)	Consumer Staples	0.23	8.5	Red	
321	TKO Group Holdings (TKO)	Communication Services	0.23	5.7	Red	
322	GoDaddy (GDDY)	Information Technology	0.23	7.8	Red	
323	Otis Worldwide (OTIS)	Industrials	0.22	8.4	Red	
324	Johnson Controls (JCI)	Industrials	0.22	8.3	Red	
325	Stanley Black & Decker (SWK)	Industrials	0.22	8.2	Red	
326	McCormick & Company (MKC)	Consumer Staples	0.22	6.1	Red	
327	Jabil (JBL)	Information Technology	0.22	8.1	Red	
328	CSX Corporation (CSX)	Industrials	0.22	7.2	Red	
329	Estée Lauder Companies (The) (EL)	Consumer Staples	0.21	5.9	Red	
330	HCA Healthcare (HCA)	Health Care	0.21	7.9	Red	
331	Cisco (CSCO)	Information Technology	0.21	7.8	Red	
332	Salesforce (CRM)	Information Technology	0.21	7.8	Red	
333	Motorola Solutions (MSI)	Information Technology	0.21	7.7	Red	
334	Boeing (BA)	Industrials	0.21	7.7	Red	
335	Quanta Services (PWR)	Industrials	0.21	7.7	Red	
336	Roper Technologies (ROP)	Information Technology	0.21	7.7	Red	
337	Autodesk (ADSK)	Information Technology	0.21	7.7	Red	
338	J.B. Hunt (JBHT)	Industrials	0.20	7.7	Red	
339	Charles River Laboratories (CRL)	Health Care	0.20	7.6	Red	
340	RTX Corporation (RTX)	Industrials	0.20	7.5	Red	
341	Viatris (VTRS)	Health Care	0.20	7.5	Red	
342	AutoZone (AZO)	Consumer Discretionary	0.20	7.5	Red	

Table 13: All 379 companies of the S&P 500 scored on 18 September 2026, from the highest score on the 0-to-1 scale to the lowest: sector, that score, the score, colour (Green, Amber, Red or Black; not a recommendation) and whether the company is one of the next picks.

Rank	Company	Sector	Score 0 to 1	Score	Colour	Next pick
343	Quest Diagnostics (DGX)	Health Care	0.20	7.5	Red	
344	Vistra Corp. (VST)	Utilities	0.20	7.4	Black	
345	Walmart (WMT)	Consumer Staples	0.19	7.3	Black	
346	McKesson (MCK)	Health Care	0.19	7.0	Black	
347	HP Inc. (HPQ)	Information Technology	0.19	7.0	Black	
348	Apple Inc. (AAPL)	Information Technology	0.19	7.0	Black	
349	Equifax (EFX)	Industrials	0.18	6.7	Black	
350	Eversource Energy (ES)	Utilities	0.18	6.6	Black	
351	Hewlett Packard Enterprise (HPE)	Information Technology	0.18	6.6	Black	
352	Mettler Toledo (MTD)	Health Care	0.17	6.5	Black	
353	ServiceNow (NOW)	Information Technology	0.17	4.2	Black	
354	Fortive (FTV)	Industrials	0.17	6.2	Black	
355	Cencora (COR)	Health Care	0.16	6.1	Black	
356	GE Aerospace (GE)	Industrials	0.16	5.9	Black	
357	Philip Morris International (PM)	Consumer Staples	0.15	5.7	Black	
358	Expedia Group (EXPE)	Consumer Discretionary	0.15	5.6	Black	
359	Fair Isaac (FICO)	Information Technology	0.14	5.4	Black	
360	Centene Corporation (CNC)	Health Care	0.14	5.3	Black	
361	Take-Two Interactive (TTWO)	Communication Services	0.14	5.3	Black	
362	Southwest Airlines (LUV)	Industrials	0.14	5.2	Black	
363	Zebra Technologies (ZBRA)	Information Technology	0.13	5.0	Black	
364	Marriott International (MAR)	Consumer Discretionary	0.13	5.0	Black	
365	Exelon (EXC)	Utilities	0.13	3.3	Black	
366	Targa Resources (TRGP)	Energy	0.13	4.9	Black	
367	Kraft Heinz (KHC)	Consumer Staples	0.13	4.7	Black	
368	Starbucks (SBUX)	Consumer Discretionary	0.12	4.6	Black	
369	Dollar Tree (DLTR)	Consumer Staples	0.12	4.5	Black	
370	O'Reilly Automotive (ORLY)	Consumer Discretionary	0.12	4.3	Black	
371	Live Nation Entertainment (LYV)	Communication Services	0.10	3.9	Black	
372	Hilton Worldwide (HLT)	Consumer Discretionary	0.10	3.8	Black	
373	Cardinal Health (CAH)	Health Care	0.10	3.6	Black	
374	AbbVie (ABBV)	Health Care	0.09	3.4	Black	
375	GE Vernova (GEV)	Industrials	0.07	1.6	Black	
376	Dell Technologies (DELL)	Information Technology	0.07	2.4	Black	
377	Palo Alto Networks (PANW)	Information Technology	0.06	1.4	Black	
378	J.M. Smucker Company (The) (SJM)	Consumer Staples	0.05	1.9	Black	
379	EchoStar (ECHO)	Communication Services	0.03	0.8	Black	

Table 13 ranks all 379 companies of the S&P 500 that are scored on 18 September 2026 by their score on the 0-to-1 scale, the highest first. That scale is the share of the most a company could score on the rules it is measured on, so it is not the score the wallet ranks by: the next picks are chosen by the score in the fifth column, and are marked, so they need not be the first rows of this list, and the lowest scores of Section 11 are ordered by that score too. Companies with the same 0-to-1 score are ordered by symbol. Financials, Real Estate and companies with too few rules to score are not scored and so are not listed. The colours are those of Section 11: Green above 0.6, Amber above 0.4, Red above 0.2, Black at or below it. The ranking shows where the score places each company today; it is not a recommendation to buy or sell anything.

C Wallet contents by year

Table 14: Wallet with sells of the investor who started in 2020: value of each holding after each January's trades and today (USD), and the money put in and the proceeds of sales to date, July decisions included.

Holding	2020	2021	2022	2023	2024	2025	2026	Now
AMAT	9	23	53	44	80	95	173	252
SNA	10	22	53	82	128	178	218	236
PKG	9	35	45	45	59	83	80	99
NUE	12	38	105	149	225	170	266	434
MU	12	45	84	66	122	130	471	1,321
LYB	9	9	10	10	12	9	6	10
GILD	9	18	23	24	24	28	37	53
FAST	9	23	43	34	47	53	62	81
TPR	9	31	30	29	30	53	105	96
CTSH	11	40	67	63	103	130	163	152
HUM		21	46	50	48	26	27	53
HSIC		10	32	32	31	28	31	35
HAS		23	25	16	9	1	1	1
BIIB		10	10	11	11	6	7	10
LRCX		10	15	19	55	53	138	178
INTC			20	28	51	22	12	17
BBY			9	8	8	7	5	8
CMI			20	45	46	67	103	100
GOOGL				19	29	40	67	59
GOOG				19	40	55	91	81
SWKS				20	45	58	66	107
CF					21	45	43	78
STLD					25	44	96	138
DD					21	20	27	31
KEYS					9	10	12	19
EOG						21	39	62
BG						19	48	51
ON						19	43	55
EBAY						12	10	10
FSLR							19	20
EW							25	38
CPRT							11	9
BF-B								12
PODD								9
RMD								13
Put in	100	300	500	700	900	1,100	1,300	1,400
Sold	0	4	13	18	23	36	66	74
Total	100	358	691	809	1,276	1,480	2,503	3,927

D Testing the weighting

Table 15: Each rule's weight w_r on the picks' dates (overall, for the picks that beat the S&P 500 and for the others), the dollar-weighted mean points, the gap and the rank correlation with the return a year above the S&P 500.

Rule	w_r	w_r beat	w_r not	Pts beat	Pts not	Gap	Corr.
NN	1.00	1.00	1.00	3.59	2.69	+0.90	-0.03
G7	0.91	0.91	0.91	3.67	3.54	+0.14	+0.13
G6	0.88	0.87	0.88	3.99	3.80	+0.19	+0.14
B1	0.84	0.84	0.84	3.24	3.56	-0.32	-0.09
G2b	0.83	0.83	0.83	4.86	4.68	+0.18	-0.00
E2	0.82	0.81	0.82	4.86	4.68	+0.18	-0.00
G2a	0.76	0.76	0.76	4.88	4.54	+0.35	+0.26
E1	0.59	0.59	0.60	4.88	4.54	+0.35	+0.26
G5	0.53	0.53	0.53	3.85	3.37	+0.48	+0.20
E4	0.19	0.19	0.19	2.04	2.29	-0.25	+0.01

Each rule's points are multiplied by its weight, one less the share of companies passing it on the date, so a rule few companies pass counts more. A good weighting gives most weight to the rules whose points went with better returns. Table 15 sets each rule's mean weight on the dates the picks were made against two measures of how well it told the 220 picks apart: the gap between the mean points of the picks that beat the S&P 500 and of those that did not, weighted by dollars as in Figure 4, and the rank correlation of the rule's points with each pick's return a year above the S&P 500. Figure 10 plots weight against gap; a good weighting puts its rules on a rising line, with the heavy rules above zero.

Across the rules, the rank correlation of weight and gap is +0.02, and of weight and correlation -0.48.

The weighting is unrelated to which rules worked. Weighted heavily but with a negative gap: return on equity (B1). A positive gap but a light weight: current ratio (G2a), 6-year earnings growth (G5), current ratio (lenient) (E1) and debt to working capital (lenient) (E2). Any change to the weights must be tested on years it was not fitted on.

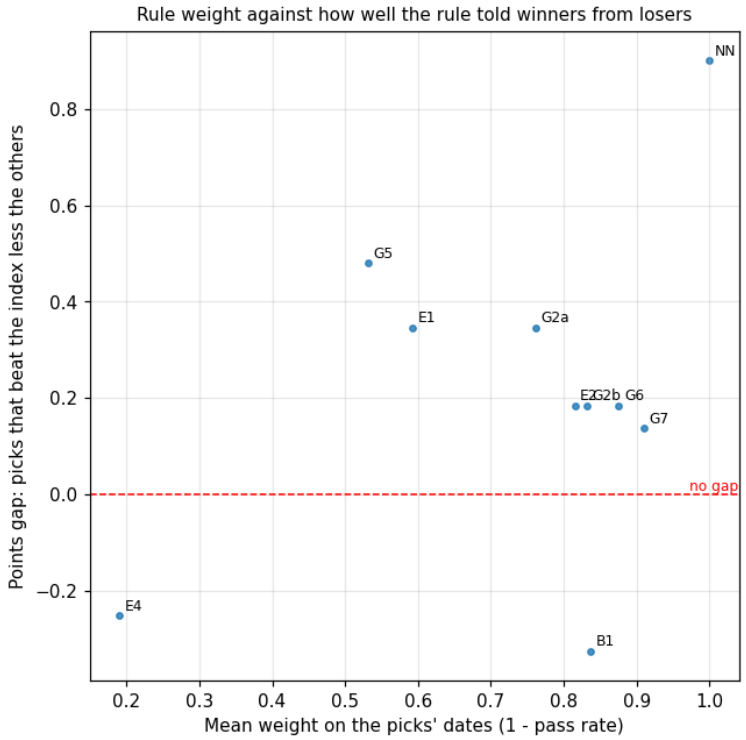


Figure 10: Each rule's mean weight against the gap in points between the picks that beat the S&P 500 and the others, weighted by dollars; rules above the line told winners from losers.

E Forward information

Table 16: Truncation check: companies scored on the date, companies whose score differs when every input is cut at the date (per score), and whether the picks are the same.

Date	Companies	Score	Score 0 to 1	Unweighted	Share passed	Same picks
2018-12-21	296	0	0	0	0	yes
2022-12-16	339	0	0	0	0	yes
2025-12-19	376	0	0	0	0	yes

A score must use only what was known on its date. Four guards are built in. A company's figures count from the day its annual report was filed with the SEC, and of all the figures filed for a year only the first reported is used, never a later restatement. Prices are the close on the scoring date and dividends are counted by their ex-date. Each January and July purchase uses the scores of the rebalance date two weeks before it. Rule weights come from the companies on the date alone.

These guards are tested by cutting every input at a date as if it were that day (filings filed on or before it, prices and dividends up to it), scoring the companies again and comparing the scores with the full run (Table 16). Any difference means information from after the date reached a score. On 21 December 2018, 16 December 2022 and 19 December 2025 the picks were the same, and the scores were identical on 21 December 2018, 16 December 2022 and 19 December 2025. The same check runs as a unit test. A rule whose window reaches back further than a company's price history (a long dividend record of a younger company) is not evaluated rather than failed.

Three sources of forward information are outside this test. Only today's S&P 500 members are scored. Each company counts from the date it entered the index, as the index's list gives it. Companies that later left the index are missing, which flatters every result. Sectors are today's, used to leave out Financials and Real Estate in earlier years. And the score's design and settings

were chosen while looking at 2009 to 2026, so no period tests it fairly: 2022 onwards, once meant as a held-out test, was used to choose between models.

E.1 Companies missing from the data

Table 17: Companies that left the S&P 500 since each start year, all missing from the data: in all, on their market value, and through an acquisition or another reason.

Start	Left the index	On market value	Acquired or other
2016	230	97	133
2020	125	75	50
2023	69	47	22
2025	37	24	13

Table 17 counts the companies that left the S&P 500 after each start year; none of them is in the data, of any sector. Most left through an acquisition, often at a premium; those that dropped out on their market value are the likely losers a real investor could have picked. The later the start, the fewer are missing, which is why the investor who started in 2020 is the reference of this report. The count starts with the index's list of changes, which begins in July 1976: removals before that are not counted, so for earlier start years it understates the gap. The bias is removed only when the historical members of the index are added to the data.

F The rules

Table 18: The rules: what each measures, the better direction and when a company passes.

Rule	Name	What it measures	Better	Passes when
G2a	current ratio	Current assets divided by current liabilities: what the company owns against what it owes within a year.	higher	at least 2.0
G2b	debt to working capital	Long-term debt divided by net current assets (current assets less current liabilities).	lower	at most 1.0
G5	6-year earnings growth	Average earnings per share of the last 3 years over the average of the 3 years before them, within a window of 6 years.	higher	at least 1.33 times the earlier average
G6	P/E	Price over the average earnings per share of the last 3 years.	lower	at most 15.0
G7	P/E times P/B	P/E as in G6 times the price over book value per share.	lower	P/B at most 1.5, or the product at most 22.5
E1	current ratio (lenient)	Current ratio, as G2a.	higher	at least 1.5
E2	debt to working capital (lenient)	Long-term debt over net current assets, as G2b.	lower	at most 1.1
E4	current dividend	Dividends paid over the last 365 days, as a yield on the price.	higher	any dividend
NN	net-net	Market value over net current asset value (current assets less all liabilities).	lower	at most 0.67
B1	return on equity	Number of the last 3 years with return on equity (net income over equity) of at least 15%.	higher	at least 2 of those years, and long-term debt at most 0.5 times equity

Table 18 explains each rule: what it measures, whether a higher or a lower value earns more points, and when a company passes it. The points come from the company's rank on the measure among all companies on the date; the pass threshold sets the rule's weight. Rules G follow Graham's defensive investor (The Intelligent Investor, chapter 14), rules E his enterprising investor (chapter 15) and his net-net test (NN), B1 Buffett's return on equity, and NI1 was added for net income growth. Two pairs test the same measure at different strictness (G2a and E1, G2b and E2), so the current ratio and debt count twice.